

[Subscribe](#)

[Search](#)

STIMSON

[What We Do](#) ▼

[Issues](#) ▼

[Analysis](#) ▼

[Events & Engagem](#)

[Our Experts](#) ▼

[Donate](#)

COMMENTARY

Top Ten Global Risks for 2023

Identifying and assessing the top economic, geopolitical, and strategic risks for this new year

By **Mathew Burrows** and **Robert A. Manning**

January 4, 2023

Grand Strategy

Share:

The logo for the Stimson Center, featuring the word "STIMSON" in a bold, sans-serif font, with a stylized circular icon to the right of the text.[What We Do](#) ▼[Issues](#) ▼[Analysis](#) ▼[Events & Engagement](#)[Our Experts](#) ▼[Donate](#)

Originally published in [the National Interest](#)

The Risks

Unknown-Unknown Risks

Drawing on our many years of experience in forecasting global risks and trends at the U.S. Intelligence Community's National Intelligence Council, where we were tasked with providing U.S. leaders with long-range analysis and insights, we have identified the top global risks in 2023 from a U.S. and global perspective. Our track record is pretty good based on the risks we identified for 2022. COVID variants were indeed a source of concern, particularly in China, holding down Chinese economic growth, as we also predicted. We forecasted a Russian invasion of Ukraine and oil prices reaching \$100 a barrel, which occurred earlier this year, although energy prices have declined somewhat in

[What We Do ▼](#)[Issues ▼](#)[Analysis ▼](#)[Events & Engagem](#)[Our Experts ▼](#)[Donate](#)

of interdependent crises facing the world. The food crisis was exacerbated by Ukraine's inability to export its grains until recently. The energy crisis is rooted in Western efforts to deny energy profits to the Russian war machine and Vladimir Putin's retaliation in cutting gas supplies to Europe. Inflation has been boosted owing to energy- and food-price hikes, but it is also linked to supply chain disruptions resulting from the pandemic. As with debt, inflation is also rooted in the increasing prices of commodities because of the war in Ukraine, as well as the strong dollar and fiscal outlays by states to combat the economic downturn caused by the pandemic. The fact that most of the risks are interrelated means that the reduction in risk of any single one will depend on many other risks decreasing concurrently. Similarly, the severity of any single risk is linked to and often aggravates others. Nevertheless, we think it useful to examine each risk individually, keeping in mind the interlocked nature of all risks, and forecasting the direction that each will move in terms of probability — higher or lower — even though any individual risk cannot completely diminish while the others have not been resolved.

The Risks

Polycrisis from the Ukraine War

Probability:

[What We Do](#) ▼[Issues](#) ▼[Analysis](#) ▼[Events & Engagement](#)[Our Experts](#) ▼[Donate](#)

sovereign territory and pay damages; in effect, it calls for Putin's total surrender.

Conflicting pressures are pushing and pulling: on the one hand, Kyiv is asking for U.S./NATO to send more advanced, including long-range weapons like Army tactical missile systems and missile defenses; meanwhile, some members of the U.S. Congress want to curb support for Ukraine.

The war is generating multiple interconnected risks: these include an ongoing, stalemated conflict; escalation if the U.S./NATO sends additional advanced weapons to Kyiv in response to Putin's bombings; Russian use of nuclear weapons if Kyiv tries to take Crimea; "Ukraine fatigue" in Europe as recession sets in; and a U.S.-EU divide over the quantity and quality of military assistance to continue to provide to Kyiv.

Growing Food Insecurity

Probability:



STIMSON

What We Do ▼

Issues ▼

Analysis ▼

Events & Engagement

Our Experts ▼

Donate

Upheaval and Confrontation with Iran

Probability of confrontation:



As with the Ukraine war, the unprecedented popular uprising could turn Iran into a polycrisis. The stars are already aligned for a dangerous new U.S. and/or Israeli conflict with Tehran. The Iran nuclear deal — on the brink of success just a few months ago — is now dormant, if not dead. Iran is accelerating production of near-bomb-grade highly enriched uranium (HEU, it has 60% of the 90% required for a bomb) and is only weeks away from having enough to produce a bomb and will have a deliverable warhead in two years or less.

Iran's provision of drones and missiles to Russia add a new dimension to the confrontation and an impetus for new sanctions. The depleted legitimacy of the theocracy and repression of the unprecedented popular uprising adds uncertainty. Iran may be one mass strike away from a political revolution — a low-probability, high-consequence event.

STIMSON

What We Do ▼

Issues ▼

Analysis ▼

Events & Engagem

Our Experts ▼

Donate

population, more than 50% of people living in extreme poverty, and 28 of the world's top-50 most climate-vulnerable countries. Historically, debt relief has come "too little too late." Solvency problems have initially often been mistaken for liquidity problems, leading to protracted debt crises with severe economic consequences. Low-income countries, such as Somalia and Zimbabwe, are at the top of UNDP's economically distressed countries list, but Oxford Economics assesses that many emerging market countries will weather the storm, having already cut back on expenditures early in the downward cycle. The dire fiscal circumstances of most developing states is a bad omen for reaching the UN's sustainable development goals by 2030. Instead, the developing world is likely to experience more poverty, less educational improvement, and decreased ability to fight climate change in 2023.

5) **Spiraling Global Debt:** Both the [corporate debt](#) of nonfinancial companies (\$88 trillion, about 98% of global GDP) as well as combined [government, corporate and household debt](#) (\$290 trillion by the third quarter of 2022) have been increasing during the past four-to-five years [according to the International Institute of Finance](#). Several years of low — in some cases, negative — interest rates, fueling easy money, [help to](#)

STIMSON

What We Do ▼

Issues ▼

Analysis ▼

Events & Engagement

Our Experts ▼

Donate

level.

Probability: Regional Crisis: Medium+; Global Crisis: Medium

6) **Deepening Global Cooperation Deficit:** Global risks, ranging from climate change and least developed countries (LDC) debt to outer space debris, are growing as increasing major-power competition is making it harder to achieve cooperation on common global problems. After the November G-20 meeting between President Joe Biden and Chinese President Xi Jinping, the two leaders agreed to resume bilateral talks on climate change. However, another clash over Taiwan will probably halt that effort. The multilateral trading system is fraying badly, as [WTO Director-General Ngozi Okonjo-Iweala](#) recently warned, even though the costs of protectionism and self-sufficiency efforts by major powers will slow economic growth for all countries. Other institutions are proving ineffective: The G-20 has been slow to defuse growing debt crises among the hardest-hit countries, such as Bangladesh, Pakistan, Sri Lanka, and others, while the World Bank has come under stiff criticism by developing countries for not shifting more financing to the fight against

The logo for the Stimson Center, featuring the word "STIMSON" in a bold, sans-serif font, followed by a circular emblem containing a stylized globe or sphere.[What We Do](#) ▼[Issues](#) ▼[Analysis](#) ▼[Events & Engagem](#)[Our Experts](#) ▼[Donate](#)

Biden administration wants to do, up-front investment could reach \$1 trillion and chips would cost 35-to-65% more. As the Sino-U.S. tech war heats up, China will not have access to many foreign products and will need to substitute China-made items, undermining the incentive for adherence to global standards. [A McKinsey Global Institute](#) study found in an examination of 81 technologies under development that China has so far been using global standards for more than 90% of them. In many of those cases, Beijing has been relying on foreign multinational companies for 20-40% of needed inputs. Because semiconductors are playing an increasing role in all consumer goods, not just electronics or high-end technological equipment, the markets for all manufacturing goods are likely to fragment with more costs (read inflation) and less choice for consumers. Over the longer term, a decoupling of the world economy into two self-contained Western and Chinese blocs would see global GDP decrease by at least 5% — worse than the damage from the financial crisis in 2007-08, according to the [WTO](#). [IMF modeling](#) shows “growth prospects for developing economies under that scenario would darken, with some facing double-digit welfare losses.”

Probability: Medium+

STIMSON

What We Do ▼

Issues ▼

Analysis ▼

Events & Engagem

Our Experts ▼

Donate

promises. Republicans, now in control of the House, have already said they do not want to pay others to fight climate change. The rightward, more nationalistic shift in European politics may also endanger the funding of “loss-and-damage” in future years. Despite the growing frequency of extreme weather events — which affect all countries, not just poor ones — climate change is yet to be an overriding priority for the industrialized West.

Probability: High



9) **Deepening U.S.-China Tensions:** Despite the November Biden-Xi Summit, where both leaders launched an effort to stabilize relations, fundamental differences remain over Taiwan, technology rules and standards, trade, human rights, and Beijing’s aggression based on discredited territorial claims in the South and East China Seas. An initial resumption of trade, climate, and military-to-military dialogues has begun, but volatile nationalism on both sides could disrupt any substantive achievements. [Beijing’s response so far](#) to the Biden administration’s export ban on artificial intelligence and

STIMSON

What We Do ▼

Issues ▼

Analysis ▼

Events & Engagement

Our Experts ▼

Donate

10) **A More Dangerous Predicament on the Korean Peninsula:** Pyongyang's relentless testing of a full spectrum of ballistic missiles (86 tests in 2022); cruise missiles; tactical nuke-capable, mobile, medium-range missiles; and ICBMs, is part of North Korea's agenda to create a survivable second-strike arsenal and provide more options for coercion and possible attack. Preparations for a seventh nuclear test have been in place for months, as the U.S. and South Korean governments have been warning. A possible understanding between Pyongyang and Beijing may explain why such a test has not occurred. Nevertheless, if a seventh test occurs and Beijing vetoes UN Security Council sanctions aimed at punishing North Korea, the rift in U.S.-China ties will probably deepen. Pyongyang's arsenal is already far more than needed for mutual deterrence with the U.S. and ROK. President Kim Jung Un may be tempted to take provocative actions based on miscalculation that could foment a crisis and/or North-South clash.

Probability: Medium+

[Subscribe](#)[Search](#)

STIMSON

[What We Do](#) ▼[Issues](#) ▼[Analysis](#) ▼[Events & Engagem](#)[Our Experts](#) ▼[Donate](#)

Originally published on [the National Interest](#).

Recent & Related



MIDDLE EAST

[Subscribe](#)

[Search](#)

STIMSON

[What We Do](#) ▼

[Issues](#) ▼

[Analysis](#) ▼

[Events & Engagem](#)

[Our Experts](#) ▼

[Donate](#)

Joe Macaron



STRATEGIC FORESIGHT HUB

NATO Summit Assessment: Partial Reversion to the Mean

James Siebens | Andrew Hyde

[Subscribe](#)[Search](#)

STIMSON

[What We Do](#) ▼[Issues](#) ▼[Analysis](#) ▼[Events & Engagement](#)[Our Experts](#) ▼[Donate](#)

From ‘Three Amigos’ to Distrustful Neighbors

Evan Cooper

SOUTHEAST ASIA

Community Adaptation for a Water Festival Without Clean Water

Saeng Moungee

NORTH AFRICA, MEDITERRANEAN, AND THE SAHEL

Tripoli’s New Leverage: How the American Initiative Changed the Rules of Negotiation

Hafed Al Ghowell

EAST ASIA

America’s Chip Future Still Runs Through Taiwan

Subscribe

Search

STIMSON

What We Do ▼

Issues ▼

Analysis ▼

Events & Engagem

Our Experts ▼

Donate

Javad Heiran-Nia | Hessam Habibi Doroh

PARTNERSHIPS IN PROLIFERATION PREVENTION

The Next Iran Nuclear Deal: Lessons from Iran, Iraq, Libya, Syria, and North Korea

David Kenneth Smith

[Subscribe](#)

[Search](#)

STIMSON

[What We Do](#) ▼

[Issues](#) ▼

[Analysis](#) ▼

[Events & Engagem](#)

[Our Experts](#) ▼

[Donate](#)



Alexandra de La Trobe



Subscribe

Search

STIMSON

What We Do ▼

Issues ▼

Analysis ▼

Events & Engagem

Our Experts ▼

Donate

About Stimson

Mission & Vision

News & Announcements

Programs

History

Loomis Council

EastWest Council

Transparency

Ethics & Independence

Funding & Finances

Our Core Values

People

Staff & Affiliates

[Subscribe](#)

[Search](#)

STIMSON

[What We Do](#) ▼

[Issues](#) ▼

[Analysis](#) ▼

[Events & Engagem](#)

[Our Experts](#) ▼

[Donate](#)

[Privacy Policy](#)